Siemens

Early look at Q4'26: Expect a continuation of the +ve trends ytd. Remain OW/AFL.

Overweight

ANALYST FOCUS LIST

SIEGn.F, SIE GR
Price (28 Sep 26):€280.05
Price Target (Dec-27):€345.00

Siemens will report Q4'26 results on 12 November. We have updated our model and view incorporating our discussions with the company, top-down data and peer read-across. We continue to see 1) ongoing strength in SI thanks to Data Centers and Utility; 2) further evidence of a recovery in discrete and confirmation that the Q4 DI margin guidance offered at Q3 regarding mix was pragmatic, if conservative; 3) another strong orders quarter for Mobility, and 4) immaterial incremental cost inflation which appears to have been offset by swift pricing actions ytd. The net of these items makes for a still positive outlook into Q4/FY27 on an underlying basis, noting that the all-important SHL spin is now just c6 months away and actionable given the spin-out report is scheduled for December. Our fine-tuned quarterly estimates are detailed below; our annual estimates are essentially unchanged, and so too is our Street-high price target of to €345.

- **JPM Q4 headline forecasts:** We model Q4 Industrial orders (ex Healthineers) of €19.8bn (BBG cons: €17.8bn, n.b. While we are 11% above consensus this is mostly due to being c35% above consensus in Mobility), Industrial revenue (ex Healthineers) of €16.2bn (€BBG: 15.9bn) and Industrial Profit (ex Healthineers) of €2.8bn (c5% ahead of BBG cons), as we are c 4%, 6% and 3% above consensus for DI, SI and Mobility, respectively. We have yet to incorporate any potential pre-close messaging from SHL (covered by our MedTech team), which is somewhat independent of the Remain-Co investment case at this juncture, assuming the spin approval at the AGM in February. That said, we were pleased to see the positive update regarding a new radiotherapy platform launched by SHL which greatly improves speed/better outcomes for patients, as covered by our MedTech team earlier today (here).
- **Digital Industries.** We model Q4 orders at c€5.7bn and sales of €5.5bn (up c8% organically) with an overall B2B >1x. We would also anticipate Q4 software ARR growth of >10% / in the normal range, which should further allay concerns of the Siemens software bears. We also model a DI divisional margin of 19.2%, with severance of c€45m.
- **Smart Infrastructure.** We expect another strong quarter in SI, consistent with Q3 trends and recent corporate commentary, with orders of €7.5bn, driven by a still strong data center demand environment and the associated wider infrastructure). On revenue, we model €7.0bn (up c11% organically) with a margin of 20.2% (severence: €22m).
- **Mobility.** Given the large orders in Q4, we expect a strong performance in the c€6 to 7bn range. We are officially at €6.5bn, but would note that this number is often an area of significant volatility due to the lumpy nature of large orders. On sales and margin, we are at €3.6bn (up c11% organically) and 8.9%, respectively.
- **Model Update and Valuation.** Minor tweaks to our Q4 assumptions result in immaterial changes to our FY26 and beyond estimates at plus or minus 1% from orders through to EPS (Table 3). Our valuation methodology and reverse-DCF and SoTP-based price target methodology is unchanged.

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Style Exposure

Quant	Current	Hist %Rank (1=Top)			
Factors	%Rank	6M	1Y	3Y	5Y
Value	86	75	61	41	54
Growth	61	43	61	87	
Momentum	46	85	65	29	44
Quality	62	73	65	79	58
Low Vol	42	54	53	24	48
ESGQ	23	2	2	25	93

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 9 for analyst certification and important disclosures, including non-US analyst disclosures.

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J.P.Morgan

Price Performance



	YTD	1m	3m	12m
Abs	17.1%	-3.0%	4.8%	22.6%
Rel	8.0%	1.3%	2.8%	12.6%

Company Data

Shares O/S (mn)	792
52-week range (€)	291.70-196.50
Market cap ($ mn)	252,069.80
Exchange rate	0.88
Free float (%)	97.5%
3M ADV (mn)	0.97
3M ADV ($ mn)	302.0
Volatility (90 Day)	27
Index	SXNP Index
BBG ANR (Buy | Hold | Sell)	22|4|2

Key Metrics (FYE Sep)

€ in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	78,913	83,004	89,903	96,022
Adj. EBITDA	14,339	16,200	18,657	21,127
Adj. EBIT	10,950	12,242	14,510	16,778
Adj. net income	8,086	9,104	10,891	12,594
Adj. EPS	10.30	11.73	14.12	16.42
BBG EPS	11.50	11.20	12.86	14.64
Cashflow from operations	13,256	11,881	15,864	17,738
FCFF	9,078	7,959	11,220	12,880
Margins and Growth				
Revenue Growth Y/Y (%)	3.9%	5.2%	8.3%	6.8%
EBITDA margin	18.2%	19.5%	20.8%	22.0%
EBITDA Growth Y/Y (%)	3.9%	13.0%	15.2%	13.2%
EBIT margin	13.9%	14.7%	16.1%	17.5%
Net margin	10.2%	11.0%	12.1%	13.1%
Adj. EPS growth	(2.3%)	13.9%	20.3%	16.3%
Ratios				
Adj. tax rate	25.4%	27.1%	29.6%	29.5%
Interest cover	NM	NM	21.9	24.8
Net debt/Equity	0.2	0.1	0.0	NM
Net debt/EBITDA	0.8	0.5	0.2	NM
ROCE	10.3%	10.0%	11.1%	12.2%
ROE	14.2%	13.8%	15.2%	16.5%
Valuation				
FCFF yield	4.1%	3.7%	5.2%	6.0%
Dividend yield	1.9%	2.0%	2.1%	2.3%
EV/Revenue	2.6	2.4	2.2	1.9
EV/EBITDA	14.4	12.3	10.4	8.9
Adj. P/E	27.2	23.9	19.8	17.1

Summary Investment Thesis and Valuation

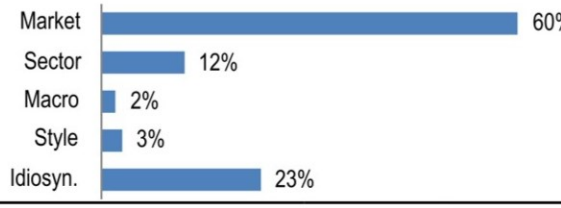
Investment Thesis

- **Portfolio strategy.** The eight-year portfolio simplification effort, which started with the debatable 'fleet of ships' strategy, is almost complete. Whilst painfully slow at times, it has unequivocally resulted in a better business with higher growth prospects, higher gross and operating margins and more predictable FCF. The shareholding in SHL (67% or c €32bn FV) is the next and perhaps final step in this journey, which was addressed at the CMD and the company plan to return c30% of SHL to SIE shareholders in 2027.
- **Strong core.** Siemens' exposure to automation, software, electrification and mobility is attractive in the current context and should deliver above sector average organic growth on a multi-year view.
- **Focus moves to execution.** After years of structural change and higher investments, Siemens is entering a period where the focus moves to execution, driving growth and improving margins, returns and cash. Whilst the guidance on leverage is low, we see this as conservative during the CFO transition year.

Valuation

We set our December 2027 price target using a Sum-of-the-Parts and the market price for Siemens Energy and our Med Tech teams view on Fair Value for SHL, and apply a 10% holding discount. We take a conservative approach to our chosen multiples across the group's assets, taking a discount to peer group averages in most cases.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Europe ex UK	0.84	0.77
Sect: Industrials	0.62	0.56
Ind: Capital Goods	0.61	0.54
Macro:		
Eurozone CPI	0.23	0.17
Markit Eurozone Comp PMI	0.11	0.13
Euro	0.05	-0.11
Quant Styles:		
LowVol	-0.29	-0.30
DivYld	-0.12	-0.18
Momentum	-0.24	-0.17

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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Table 1: Q4'26 Summary JPM Forecasts vs BBG Consensus

€m	JPMe	BBG Consensus	vs Cons.	Q4'25	% y/y
Orders	**27,804**	**25,395**	**9%**	**21,939**	**27%**
Revenues	**23,315**	**23,208**	**0%**	**21,427**	**9%**
IB Organic sales growth	9%	7%	149 bps	6%	283 bps
Industrial Profit	**3,808**	**3,726**	**2%**	**3,190**	**19%**
Industrial Profit margin	16.7%	16.5%	19 bps	15.3%	136 bps
PBT	**3,237**	**3,283**	**-1%**	**2,385**	**36%**
Net income	**2,116**	**2,160**	**-2%**	**1,619**	**31%**
Industrial Book-to-Bill ex-Healthineers	**1.22**	**1.12**		**0.98**	
Orders	**27,804**	**25,395**	**9%**	**21,939**	**27%**
Industrial Orders	***27,263***	***25,352***	***8%***	***21,464***	**27%**
Industrial Orders ex-Healthineers	***19,756***	***17,801***	***11%***	***14,217***	**39%**
Digital Industries	5,703	5,590	2%	5,511	3%
Smart Infrastructure	7,529	7,376	2%	6,184	22%
Mobility	6,524	4,835	35%	2,522	159%
Healthineers	7,507	7,354	2%	7,247	4%
Sales	**23,315**	**23,208**	**0%**	**21,427**	**9%**
Industrial Sales	***22,824***	***22,598***	***1%***	***20,816***	**10%**
Industrial Sales ex-Healthineers	***16,166***	***15,924***	***2%***	***14,494***	**12%**
Digital Industries	5,532	5,428	2%	5,030	10%
Smart Infrastructure	7,040	6,940	1%	6,248	13%
Mobility	3,594	3,555	1%	3,216	12%
Healthineers	6,658	6,693	-1%	6,322	5%
Organic revenue growth					
Digital Industries	8.1%	7.0%	113 bps	9.0%	-86 bps
Smart Infrastructure	11.3%	10.5%	80 bps	9.0%	227 bps
Mobility	11.0%	9.9%	111 bps	0.0%	1,099 bps
Healthineers	5.8%	5.6%	20 bps	4.0%	176 bps
Industrial Profit	**3,808**	**3,726**	**2%**	**3,190**	**19%**
Industrial Profit ex-Healthineers	***2,806***	***2,668***	***5%***	***2,218***	***26%***
Digital Industries	1,063	1,021	4%	779	36%
Smart Infrastructure	1,424	1,338	6%	1,166	22%
Mobility	318	310	3%	273	17%
Healthineers	1,002	1,030	-3%	972	3%
Margin	**16.7%**	**16.5%**	**19 bps**	**15.3%**	**136 bps**
Margin ex-Healthineers	***17.4%***	***16.8%***	***60 bps***	***15.3%***	***205 bps***
Digital Industries	19.2%	18.8%	42 bps	15.5%	373 bps
Smart Infrastructure	20.2%	19.3%	92 bps	18.7%	157 bps
Mobility	8.9%	8.9%	-7 bps	8.5%	36 bps
Healthineers	15.1%	15.4%	-33 bps	15.4%	-32 bps
Free Cash Flow, "all-in"	**2,956**	**NA**	**NA**	**5,308**	**-44%**

Source: Company reports and J.P. Morgan estimates. Consensus from Bloomberg Finance L.P.

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Table 2: 2026E/2027E - JPMe versus BBG Consensus

€m	JPMe		BBG Consensus		Variance (%)	
	2026E	2027E	2026E	2027E	2026E	2027E
Orders	**101,192**	**102,089**	**98,746**	**98,827**	**2%**	**3%**
Digital Industries	20,168	22,322	20,055	21,703	1%	3%
Smart Infrastructure	30,237	32,563	30,084	31,401	1%	4%
Mobility	22,360	17,956	20,671	18,827	8%	-5%
Healthineers	26,194	27,162	26,041	24,293	1%	12%
Sales	**83,004**	**89,903**	**83,078**	**88,198**	**0%**	**2%**
Industrial Sales	**81,058**	**88,018**	**80,832**	**84,960**	**0%**	**4%**
IB organic sales growth	7.6%	7.7%	7.4%	8.3%	16 bps	-60 bps
Industrial Profit	**13,205**	**15,475**	**13,303**	**14,748**	**-1%**	**5%**
Industrial Profit margin	16.3%	17.6%	16.5%	17.4%	-17 bps	22 bps
Siemens defined EPS pre PPA	**11.73**	**14.12**	**11.20**	**12.84**	**5%**	**10%**
Sales	**83,004**	**89,903**	**83,078**	**88,198**	**0%**	**2%**
Digital Industries	19,616	21,046	19,510	21,097	1%	0%
Smart Infrastructure	24,889	27,848	24,792	27,566	0%	1%
Mobility	13,048	14,057	13,012	13,994	0%	0%
Healthineers	23,505	25,067	23,547	22,595	0%	11%
Industrial Profit	**13,205**	**15,475**	**13,303**	**14,748**	**-1%**	**5%**
Digital Industries	3,647	4,384	3,602	4,353	1%	1%
Smart Infrastructure	4,854	5,895	4,767	5,505	2%	7%
Mobility	1,092	1,362	1,084	1,306	1%	4%
Healthineers	3,612	3,835	3,644	3,569	-1%	7%
Industrial Profit margin	**15.9%**	**17.2%**	**16.5%**	**17.4%**	**-55 bps**	**-15 bps**
Digital Industries	18.6%	20.8%	18.5%	20.6%	13 bps	19 bps
Smart Infrastructure	19.5%	21.2%	19.2%	20.0%	27 bps	120 bps
Mobility	8.4%	9.7%	8.3%	9.3%	4 bps	35 bps
Healthineers	15.4%	15.3%	15.5%	15.8%	-11 bps	-50 bps

Source: J.P. Morgan estimates. Consensus from Bloomberg Finance L.P.

Table 3: Summary JPMe Forecast Changes

€m	Current			Previous			% Change		
	2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E
Group Orders	**101,192**	**102,089**	**106,610**	**99,919**	**101,525**	**106,015**	**1%**	**1%**	**1%**
Industrial Orders	***98,959***	***100,004***	***104,525***	***97,686***	***99,440***	***103,930***	***1%***	***1%***	***1%***
Digital Industries	20,168	22,322	23,738	20,137	22,133	23,536	0%	1%	1%
Smart Infrastructure	30,237	32,563	34,316	30,202	32,290	34,028	0%	1%	1%
Mobility	22,360	17,956	18,495	21,153	17,855	18,389	6%	1%	1%
Healthineers	26,194	27,162	27,977	26,194	27,162	27,977	0%	0%	0%
Sales	**83,004**	**89,903**	**96,022**	**82,932**	**89,435**	**95,520**	**0%**	**1%**	**1%**
Industrial Revenue	***81,058***	***88,018***	***94,137***	***80,986***	***87,550***	***93,635***	***0%***	***1%***	***1%***
Digital Industries	19,616	21,046	22,385	19,587	20,865	22,192	0%	1%	1%
Smart Infrastructure	24,889	27,848	29,933	24,855	27,619	29,687	0%	1%	1%
Mobility	13,048	14,057	15,307	13,039	13,999	15,244	0%	0%	0%
Healthineers	23,505	25,067	26,511	23,505	25,067	26,511	0%	0%	0%
Industrial Sales Growth									
Organic	7.6%	7.7%	7.0%	7.6%	7.7%	7.0%	0 bps	0 bps	0 bps
Structure	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0 bps	0 bps	0 bps
FX	-1.8%	0.9%	0.0%	-1.9%	0.4%	0.0%	9 bps	48 bps	0 bps
Industrial Profit	**13,205**	**15,475**	**17,743**	**13,215**	**15,402**	**17,656**	**0%**	**0%**	**0%**
Digital Industries	3,647	4,384	5,106	3,643	4,350	5,067	0%	1%	1%
Smart Infrastructure	4,854	5,895	6,595	4,855	5,850	6,544	0%	1%	1%
Mobility	1,092	1,362	1,664	1,106	1,366	1,667	-1%	0%	0%
Healthineers	3,612	3,835	4,379	3,612	3,835	4,379	0%	0%	0%
Industrial Profit margin	**16.3%**	**17.6%**	**18.8%**	**16.3%**	**17.6%**	**18.9%**	**-3 bps**	**-1 bps**	**-1 bps**
Digital Industries	18.6%	20.8%	22.8%	18.6%	20.9%	22.8%	0 bps	-2 bps	-2 bps
Smart Infrastructure	19.5%	21.2%	22.0%	19.5%	21.2%	22.0%	-3 bps	-1 bps	-1 bps
Mobility	8.4%	9.7%	10.9%	8.5%	9.8%	10.9%	-11 bps	-7 bps	-7 bps
Healthineers	15.4%	15.3%	16.5%	15.4%	15.3%	16.5%	0 bps	0 bps	0 bps
Siemens Defined EPS (pre PPA)	**11.73**	**14.12**	**16.42**	**11.87**	**14.05**	**16.34**	**-1%**	**1%**	**1%**
Dividend per share	5.66	5.94	6.35	5.73	5.91	6.32	-1%	1%	1%

Source: J.P. Morgan estimates.

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Table 4: Siemens SOTP

	2028E Calendarised		Selected Multiple Range			Enterprise Value			
	Sales	Adj. EBITA	Low	Mean	High	Low	Mean	High	Base Case
Digital Industries - Hardware	14,568	N/A	1.5x	3.2x	5.0x	21,212	46,982	72,426	46,982
Digital Industries - Software (EDA)	3,270	N/A	11.0x	12.0x	14.0x	35,968	39,238	45,777	35,968
Smart Infrastructure	30,284	6,753	9.4x	15.7x	18.1x	63,530	105,926	122,505	105,926
Mobility	15,576	1,749	5.5x	8.2x	9.6x	9,645	14,266	16,764	16,764
Healthineers	26,892	4,593	12.3x	16.9x	16.9x	56,580	77,618	77,618	77,618
Financial Services	285	4,165*	1.0x	1.0x	1.0x	4,165	4,165	4,165	4,165
Corporate & Others	1,600	300	11.0x	12.0x	13.0x	3,300	3,600	3,900	3,600
Siemens AG						**211,566**	**316,318**	**402,011**	**315,547**

*Book value

	Downside	Base Case	Blue Sky
Implied Enterprise Value (mean)	**211,566**	**315,547**	**402,011**
(+) Investments (incl. ENR & Fluence)	7,256	7,256	7,256
(-) Net financial debt (cash)	(23,955)	(23,955)	(23,955)
(+) Adjustments for debt tied to SFS	28,200	28,200	28,200
(-) Minorities	(12,794)	(25,614)	(25,614)
Pre-discount implied equity value	**210,273**	**301,434**	**387,899**
(-) Conglomerate discount (10%)	(21,027)	(30,143)	
Post-discount implied equity value	**189,246**	**271,290**	**387,899**
Fully diluted shares outstanding	766.1	766.1	766.1
Implied SOTP share price	**247.0**	**354.1**	**506.3**
Current share price	284.2	284.2	284.2
Premium/(discount) to market	-13%	25%	78%

EURm	Current equity value
Siemens Energy	124,826
5.5% stake	5.5%
	6,865
Fluence Energy	1,287
30.3% stake	30.3%
	390

Source: J.P. Morgan estimates, Bloomberg Finance L.P.

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Investment Thesis, Valuation and Risks

Siemens *(Overweight; Price Target: €345.00)*

Investment Thesis

- **Portfolio strategy.** The eight-year portfolio simplification effort, which started with the debatable 'fleet of ships' strategy, is almost complete. Whilst painfully slow at times, it has unequivocally resulted in a better business with higher growth prospects, higher gross and operating margins and more predictable FCF. The shareholding in SHL (67% or c€32bn FV) is the next and perhaps final step in this journey, which was addressed at the CMD and the company plan to return c30% of SHL to SIE shareholders in 2027.
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Valuation

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Risks to Rating and Price Target

- **Portfolio challenges persist.** In the event that the SHL exit is protracted, this would be negative for the stock, although we see the timeline as investible now with the Feb AGM only c2 quarters away.
- **M&A.** Siemens has a mixed M&A track record and may do further acquisitions (potentially at high multiples) or disposals/partnerships with a negative impact on value in the short term. If M&A were to occur in parallel to shareholder friendly actions, the market would likely be accommodating.
- **Digital Industries recovery slow to materialize.** DI has seen significant pressure on margins as demand normalised and customers/distributors have destocked. The likelihood of this continuing is now low; however, as the flagship division, this will be important for the equity.
- **Index risk:** The Siemens shares have a tight correlation with the DAX index. In the event of a material shift in perception on the German economy and stimulus plans, this would drive the multiple lower.

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Siemens: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**75,928**	**78,913**	**83,004**	**89,903**	**96,022**
% Change Y/Y	1.4%	3.9%	5.2%	8.3%	6.8%
Operating Profit (Co. defined)	**11,389**	**11,766**	**13,205**	**15,475**	**17,743**
Net Interest	1,048	1,125	488	(853)	(853)
Pre-tax Profit	**11,227**	**10,828**	**12,479**	**15,238**	**17,506**
Tax	(2,321)	(2,501)	(3,112)	(3,809)	(4,376)
Tax Rate	20.7%	23.1%	24.9%	25.0%	25.0%
Minorities	(691)	(767)	(1,025)	(1,248)	(1,248)
Net Income Attributable to Shareholders	**8,300**	**9,619**	**8,446**	**10,180**	**11,881**
EPS (Co. defined)	**10.54**	**10.30**	**11.73**	**14.12**	**16.42**
% Change Y/Y	(2.2%)	(2.3%)	13.9%	20.3%	16.3%
DPS	**5.20**	**5.35**	**5.66**	**5.94**	**6.35**
% Change Y/Y	10.6%	2.9%	5.8%	4.9%	7.0%

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	9,156	14,495	12,738	17,057	22,846
Accounts receivable	16,963	16,628	18,393	19,922	21,278
Inventories	10,923	10,582	12,155	13,166	14,062
Other current assets	44,212	42,073	46,158	48,697	50,949
Current assets	**61,353**	**64,709**	**67,846**	**75,448**	**84,150**
PP&E	12,242	13,023	13,359	13,175	12,972
LT investments	27,388	30,670	30,083	30,483	30,883
Other non current assets	33,241	35,598	35,405	35,805	36,205
Total assets	**147,813**	**166,199**	**169,692**	**176,694**	**184,808**
Short term borrowings	6,598	11,174	8,600	8,600	8,600
Payables	8,843	9,183	9,518	11,238	12,003
Other short term liabilities	28,473	26,903	27,538	27,993	29,003
Current liabilities	**43,914**	**47,260**	**45,657**	**47,831**	**49,605**
Long-term debt	41,321	44,841	41,324	41,324	41,324
Other long term liabilities	43,289	46,896	43,409	43,409	43,409
Total liabilities	**91,582**	**97,829**	**92,926**	**95,100**	**96,874**
Shareholders' equity	51,264	62,244	69,558	73,646	79,247
Minority interests	4,967	6,127	7,209	7,948	8,687
Total liabilities & equity	**147,813**	**166,200**	**169,692**	**176,694**	**184,808**
BVPS	**65.00**	**79.30**	**89.64**	**95.47**	**103.35**
y/y Growth	*7.7%*	*22.0%*	*13.0%*	*6.5%*	*8.2%*
Net debt/(cash)	9,421	12,160	7,643	3,324	(2,465)

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Net Profit for the cash flow	8,991	10,386	9,471	11,428	13,129
Depreciation & amortization	3,157	3,389	3,958	4,147	4,348
Changes in working capital	(799)	404	(1,610)	(1,109)	(1,137)
Capex	(2,088)	(2,445)	(2,381)	(3,147)	(3,361)
PPE Disposals	236	187	96	0	0
FCF (JPMe)	**8,050**	**9,078**	**7,959**	**11,220**	**12,880**
Acquisitions	(353)	(13,681)	-	0	0
Divestures		-	126	-	-
Dividends	(4,098)	(4,475)	(4,674)	(4,901)	(5,090)
Purchase / Sale of shares	(1,624)	(2,270)	(3,405)	(2,000)	(2,000)
Change in Net Debt	**(2,252)**	**(2,757)**	**4,337**	**4,319**	**5,790**

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	38.6%	38.5%	39.1%	37.0%	37.0%
Adj. EBITDA margin (co. defined)	18.2%	18.2%	19.5%	20.8%	22.0%
Operating Profit margin (co. defined)	14.0%	13.9%	14.7%	16.1%	17.5%
Net profit margin	10.9%	10.2%	11.0%	12.1%	13.1%
ROE	16.8%	14.2%	13.8%	15.2%	16.5%
ROA	5.7%	5.2%	5.4%	6.3%	7.0%
ROCE	9.5%	10.3%	10.0%	11.1%	12.2%
Net debt/Equity	0.2	0.2	0.1	0.0	NM
Net debt/EBITDA	0.7	0.8	0.5	0.2	NM
Sales/Assets (x)	0.5	0.5	0.5	0.5	0.5
Assets/Equity (x)	3.0	2.8	2.5	2.4	2.4
Interest cover (x)	NM	NM	NM	21.9	24.8
Operating leverage	130.8%	72.6%	227.6%	222.9%	229.7%
Tax rate	26.7%	25.4%	27.1%	29.6%	29.5%
Sales growth (% y/y)	1.4%	3.9%	5.2%	8.3%	6.8%
Operating Profit growth (% y/y)	0.6%	3.3%	12.2%	17.2%	14.7%
EPS y/y Growth	(2.2%)	(2.3%)	13.9%	20.3%	16.3%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	26.6	27.2	23.9	19.8	17.1
EV / Adj. EBITA (JPMe)	14.8	17.4	15.1	12.7	10.7
EV / Adj. EBITDA (JPMe)	12.1	14.4	12.3	10.4	8.9
Dividend Yield	1.9%	1.9%	2.0%	2.1%	2.3%

Source: Company reports and J.P. Morgan estimates.
Note: € in millions (except per-share data).Fiscal year ends Sep. o/w - out of which

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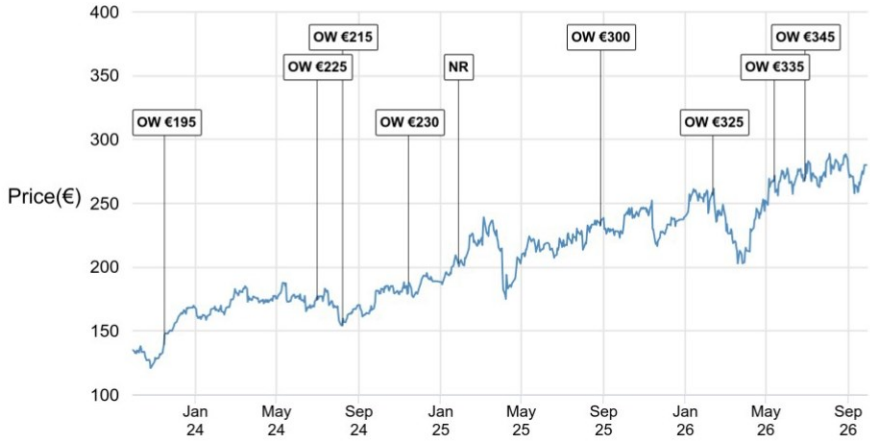
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Siemens (SIEGn.F, SIE GR) Price Chart



Date	Rating	Price (€)	Price Target (€)
16-Nov-23	OW	139.08	195
01-Jul-24	OW	173.78	225
08-Aug-24	OW	154.20	215
15-Nov-24	OW	187.56	230
28-Jan-25	NR	202.90	--
28-Aug-25	OW	232.55	300
12-Feb-26	OW	256.40	325
14-May-26	OW	267.40	335
29-Jun-26	OW	267.30	345

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jul 15, 1998. All share prices are as of market close on the previous business day.

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